

25VECV02593 25VECV02593

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Case Number: 25VECV02593 Hearing Date: September 18, 2026 Dept: 413

HEARING DATE: 09/18/2026

CASE NUMBER: 25VECV02593

CASE NAME: Farmers Insurance

Exchange vs. Shainsky

MOVING PARTY: Defendant KAREN SHAINSKY

OPPOSING PARTY: Plaintiff FARMERS INSURANCE
EXCHANGE

PROCEEDING: MOTION FOR SUMMARY JUDGMENT

RULING SUMMARY: Motion for Summary Judgment is
denied.

Background

On January 3, 2025, Karen Shainsky ("Shainsky") filed a petition to confirm arbitration award against Farmers Insurance Exchange ("Farmers") under lead case number 25STCP00038, and on March 18, 2025, the Court confirmed the award acknowledging that the award did not address coverage issues and that any issues could be resolved in a subsequent lawsuit. On April 11, 2025, the Court entered judgment.

On May 9, 2025,

Farmers filed a Complaint under case number 25VECV02593 against Shainsky for declaratory relief seeking a judicial declaration of rights, duties and obligations under the Policy ("Declaratory Relief Action"). Shainsky filed a Cross-Complaint for breach of contract, breach of the implied covenant of good faith and fair dealing, and unfair business practices ("Breach Cross-Complaint") against Farmers.

On June 24, 2025, in the lead case, the Court granted Farmers's motion for a new trial and vacated the April 11, 2025 Judgment; the Court corrected the Judgment to reflect that the Appraisal Award evaluated the replacement cost value as \$672,662.19 and the actual cash value as \$631,984.03. The motion to vacate the judgment was denied as moot. The amended Judgment was entered on July 7, 2025.

On June 10, 2026, Shainsky filed her Motion for Summary Judgment. On August 25, 2026, Farmers filed its Opposition. On September 4, 2026, Shainsky filed her Reply.

LEGAL

STANDARD – SUMMARY JUDGMENT

The function of a motion for summary judgment is to allow a determination as to whether an opposing party cannot show evidentiary support for a pleading or claim and to enable an order of summary dismissal without the need for trial. (Aguilar v. Atlantic Richfield Co., (2001) 25 Cal.4th 826, 843.) Code of Civil Procedure section 437c(c) "requires the trial judge to grant summary judgment if all the evidence submitted, and 'all inferences reasonably deducible from the evidence' and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.) "The function of the pleadings in a motion for summary judgment is to delimit the scope of the issues; the function of the affidavits or declarations is to disclose whether there is any triable issue of fact within the issues delimited by the pleadings." (Juge v. County of Sacramento (1993) 12 Cal.App.4th 59, 67 [citing FPI Development, Inc. v. Nakashima (1991) 231 Cal. App. 3d 367, 381-382].)

As to each claim as framed by the complaint, the party moving for summary judgment

must satisfy the initial burden of proof by presenting facts to negate an essential element, or to establish a defense. (Code Civ. Proc., § 437c(p)(2); *Scaife v. D. B. Log Homes, Inc.* (2005) 128 Cal.App.4th 1510, 1520.) Courts “liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.” (*Dore v. Arnold Worldwide, Inc.* (2006) 39 Cal.4th 384, 389.)

Once

the defendant has met that burden, the burden shifts to the opposing party to show that a triable issue of one or more material facts exists as to that cause of action or a defense thereto. To establish a triable issue of material fact, the party opposing the motion must produce substantial responsive evidence. (*Sangster v. Paetkau* (1998) 68 Cal.App.4th 151, 166.)

REQUEST FOR JUDICIAL NOTICE

A.

Shainsky's Request

Shainsky requests that the Court take judicial notice of: (1) The petition filed by Karen Shainsky on January 3, 2025, in the action entitled *Shainsky v. Farmers Insurance Exchange, LASC*, Case No. 25STCP00038; (2) the March 18, 2025, notice of ruling confirming the appraisal award in Case No. 25STCP00038; (3) the April 11, 2025, judgment concerning the confirmed appraisal award in Case No. 25STCP00038; (4) the July 7, 2025 amended judgment and notice of entry of amended judgment in Case No. 25STCP00038; and (5) “[t]he facts that Farmers did not seek to vacate the appraisal award under CCP § 1286.2 and did not appeal the confirmed judgment.” (S.’ RJN at p. 2; Exs. 1-4.)

The request is granted. (Evid. Code § 452(d), (h); *Kalnoki v. First American Trustee Servicing Solutions, LLC* (2017) 8 Cal.App.5th 23,37.) The Court takes judicial notice of these documents only as to “the existence, content and authenticity of public records and other specified documents”; it does not take judicial notice of the truth of any factual matters asserted in those documents. (*Dominguez v. Bonta* (2022) 87 Cal. App. 5th 389, 400.)

B.

Farmers' Request

Farmers requests that the Court take judicial notice of: (1) Shainsky's Petition to Confirm Appraisal Award and to Enter Judgment on Confirmed Award filed on January 3, 2025; LASC No. 25STCP00038; (2) Farmers' Notice of Intent of Move for New Trial and Notice of Intent to Vacate and Correct Judgment filed on April 28, 2025 in Case No. 25STCP00038; (3) Judge Gail Killefer's June 24, 2025 Minute Order, with Tentative Ruling, from Case No. 25STCP00038; and (4) the Amended Judgment filed on July 7, 2025 in Case No. 25STCP00038. (F.'s RJN at p. 2; Comp. Exs. 5, 7, 12-13.)

The request is granted. (Evid. Code § 452(d), (h); see *Kalnoki v. First American Trustee Servicing Solutions, LLC* (2017) 8 Cal.App.5th 23,37.) The Court takes judicial notice of these documents only as to "the existence, content and authenticity of public records and other specified documents"; it does not take judicial notice of the truth of any factual matters asserted in those documents. (*Dominguez v. Bonta* (2022) 87 Cal. App. 5th 389, 400.)

EVIDENTIARY OBJECTIONS

A.

Objections to the Whitmore
Declaration

Shainsky's evidentiary objections
Nos. 2, 4-6, 8-14 are overruled.

Shainsky's evidentiary objections
Nos. 1, 3, and 7 (hearsay) are sustained.

B.

Objections to the Hinton
Declaration

Shainsky's evidentiary objections
Nos. 2, 4, 6-9 are overruled.

Shainsky's evidentiary objections

Nos. 1, 3, and 5 are sustained.

DISCUSSION

A.

Request for Summary Adjudication

While

the Notice to the Motion states that Shainsky is moving in the alternative for summary adjudication of issues, this is the only reference to adjudication in both the Motion and Reply. (Mot., at p. 2.) The Separate Statement identifies no causes of action, affirmative defenses, claim for damages or issues of duty that Shainsky is asking the Court to summarily adjudicate. (Code Civ. Proc. § 437c(f)(1); Cal. Rules of Court, rule 3.1350(b).) The Motion's caption and conclusion only reference a Motion for Summary Judgment. For these reasons, because Shainsky has failed to comply with the statute and rules for presenting a motion for summary adjudication, the Court denies summary adjudication and analyzes below Shainsky's request as a Motion for Summary Judgment only.

B.

Res Judicata & Collateral

Estoppel

Shainsky argues that the appraisal award issued on November 16, 2024, and entered by this Court on July 7, 2025, is binding on the parties and operates as a final judgment on the value of Shainsky's loss. (Mot., at pp. 9-10.) Shainsky further argues that the doctrines of res judicata and collateral estoppel "prohibit Farmers from using this action to collaterally attack the confirmed judgment." (Mot., at p. 10.)

The doctrine of res

judicata applies when the issues decided in the prior adjudication are identical with those presented in the later action; there was a final judgment on the merits in the prior action; and the party against whom the plea is raised was a party in privity with a party in the prior adjudication. (Citizens for Open Access to Sand and Tide, Inc. v. Seadrift Ass'n (1998) 60 Cal.App.4th 1053, 1065.)

"Res judicata describes the

preclusive effect of a final judgment on the merits. Res judicata, or claim preclusion, prevents relitigation of the same cause of action in a second suit between the same parties or parties in privity with them. Collateral estoppel, or issue preclusion, precludes relitigation of issues argued and decided in prior proceedings. Under the doctrine of res judicata, if plaintiff prevails in an action, the cause is merged into the judgment and may not be asserted in a subsequent lawsuit; a judgment for the defendant serves as a bar to further litigation of the same cause of action. [¶] A clear and predictable res judicata doctrine promotes judicial economy. Under this doctrine, all claims based on the same cause of action must be decided in a single suit; if not brought initially, they may not be raised at a later date. Res judicata precludes piecemeal litigation by splitting a single cause of action or relitigation of the same cause of action in a different legal theory or for different relief.” (Mycogen Corp. v. Monsanto Co. (2002) 28 Cal.4th 888, 897.)

The doctrine of collateral estoppel, also known as “[i]ssue preclusion, prevents relitigation of issues argued and decided in prior proceedings. The threshold requirements for issue preclusion are: (1) the issue is identical to that decided in the former proceeding, (2) the issue was actually litigated in the former proceeding, (3) the issue was necessarily decided in the former proceeding, (4) the decision in the former proceeding is final and on the merits, and (5) preclusion is sought against a person who was a party or in privity with a party to the former proceeding.” (Castillo v. City of Los Angeles (2001) 92 Cal.App.4th 477, 481.)

Collateral estoppel applies to material issues well pleaded in the Complaint in the former action. It does not apply to immaterial allegations or issues not raised in the pleadings. (Burnett v. King (1949) 33 Cal.2d 805, 810.)

It is undisputed that on January 7, 2024, Shainsky discovered water in the kitchen of her home located on Aleman Drive in Tarzana, California, due to a failed refrigerator supply line. (UMF No. 1; Shainsky Decl., ¶ 2.) Farmers had previously issued Homeowners Policy No. 31747-80-50 for the property, which included “Coverage A (Dwelling) of \$707,000, Coverage C (Personal Property) of \$282,800, and Coverage D (Loss of Use / Additional Living Expense) of \$141,400.” (UMF No. 2; Shainsky Decl., ¶ 2.) On

November 16, 2024, the appraisal panel that Shainsky had invoked issued a Declaration of Appraisal Panel Award, signed by her appraiser and the neutral umpire, valuing the total loss at “\$672,662.19 (replacement cost) / \$631,984.03 (actual cash value), including: Dwelling Repairs (\$406,781.61 RCV / \$366,103.45 ACV); Building Code Upgrades (\$13,592.25); Packout, Packback & Storage (\$45,288.33); and Monthly Rental Cost (\$207,000).” (UMF Nos. 10-11; Shainsky Decl., ¶¶ 6-7.) The award was made “without consideration of any coverage issues, policy limits, deductible amounts, prior payments by the Insurer, non-covered items, or other provisions of the governing insurance policy that might affect the existence and/or amount of the Insurer's liability, if any.” (UMF No. 12; Shainsky Decl., ¶ 7; Comp., Ex. 3.)

On January 3, 2025, Shainsky filed a Petition to Confirm the Appraisal Award in Los Angeles Superior Court case no. 25STCP00038; on April 11, 2025, judgment on the confirmed appraisal award was initially entered, specifying, however, that “[n]othing herein is intended to preclude separate legal proceedings on issues unrelated to the appraisal process. ... The issue of whether the loss is covered under the policy is a separate, legal issue that must be resolved outside the appraisal process.” (UMF Nos. 13-14; S.'s RJN, Exs. 1-3.) On June 24, 2025, the Court granted Farmers' motion for new trial and vacated the April 11 Order, correcting the Judgment “to reflect that the Appraisal Award evaluated the replacement cost value as \$672,662.19 and the actual cash value as \$631,984.03.” (UMF No. 16; S.'s RJN, Ex. 4.) Farmers did not seek to vacate the appraisal award under Code of Civil Procedure section 1286.2 and did not appeal the judgment. (UMF No. 17; Shainsky Decl., ¶ 8.)

Shainsky argues that Farmers' “complain[t]s that the appraisal did not conform to technical policy requirements” and its request to “declare the appraisal award ‘unenforceable’ based on alleged misconduct by the umpire” and abuse of power allegations are barred based on the Court's prior Judgment on June 24, 2025, in LASC, case no. 25STCP00038. (Mot., at pp. 9-10.) The amount of loss, including the ALE component, was “squarely at issue” in the prior proceeding and are thus barred by res judicata. (Mot., at pp. 10-11.) Shainsky concedes, however, that “some coverage issues remain open” based on said prior order but contends that the current Complaint “goes far beyond coverage disputes.” (Mot., at p. 11.)

Even if the Court were to find that Farmers may not prevail on some of the issues as to which it is seeking declaratory relief, Shainsky has failed to show that she is entitled to judgment as a matter of law. Under Insurance Code section 2071, an appraiser's role is constrained to that of "appraising 'the loss, stating separately actual cash value and loss to each item. ...' Appraisers have no power to interpret the insurance contract or the governing statutes." (Kirkwood v. California State Auto. Assn. Inter-Ins. Bureau (2011) 193 Cal.App.4th 49, 58-59.) An appraiser's authority is limited only to the factual question of actual cash value or amount of loss of a given item. (Ibid.) As the Court highlighted in the Amended Judgment filed on July 7, 2025, "the Appraisal Award evaluated the replacement cost value as \$672,662.19 and the actual cash value as \$631,984.03;" this finding does not stretch to coverage, policy limits, and the insured's compliance with the conditions. (UMF No. 16; S.'s RJN, Ex. 4.) Thus, Farmers' claims as to coverage, the ALE limit, non-covered items and the award, Shainsky's cooperation and honesty during the investigation, the joint-obligation and void-policy provisions, and/or the collectability of the judgment are not barred because they have not been actually litigated or necessarily decided. (Compl., ¶ 35.)

For the reasons explained above, the Court finds that Farmers' claims are not completely barred under the doctrines of res judicata and/or collateral estoppel.

C. Fraud
or Material Misrepresentation

Shainsky argues that the Complaint's reliance on the policy's Misrepresentation, Concealment, or Fraud Provision as a basis to deny coverage fails as a matter of law, because "the argument fails on the undisputed facts." (Mot., at pp. 12-13.) Specifically, Shainsky argues that "[t]here is no legal bar to renting a property from a spouse," and that her husband's failure to provide his private banking record cannot be attributed to her. (Mot., at p. 13.) Lastly, Shainsky contends that the confirmed appraisal award undermines the fraud theory. (Id.)

As an initial matter, the Court finds Shainsky's last argument regarding the appraisal award to be unpersuasive because as the Court analyzed above, appraisal fixes only the amount of loss

and does not speak to coverage or liability; Shainsky's own moving papers acknowledge this standard.

"In order for a policy to be voided under a fraud and concealment clause, the insured's misrepresentation must: (1) relate to a material matter; (2) be knowingly and wilfully [sic] made with knowledge of falsity; and (3) be made with the intent to defraud or deceive." (*Chierfue Her v. State Farm Ins. Co.* (2015) 92 F. Supp. 3d 957, 969.)

A misrepresentation is material if it relates to the insurer's 'investigation to determine its obligations under the policy.' [internal citation omitted] If an insured's misrepresentation 'concerns a subject reasonably relevant to the insurer's investigation, and if a reasonable insurer would attach importance to the fact misrepresented, then it is material.' [internal citation omitted] Materiality is generally a mixed question of law and fact, but may be decided as a matter of law if reasonable minds could not disagree on the materiality of the misrepresentation. [internal citation omitted] The issues of whether a statement was knowingly and wilfully made with knowledge of falsity, and whether the statements were made with the intent to defraud, are both questions of fact. [internal citation omitted] However, the intent to defraud is necessarily implied 'when the misrepresentation is material and the insured wilfully [sic] makes it with knowledge of its falsity.' [internal citation omitted]." (*Ibid.*)

Here, Shainsky fails to carry her burden. Her argument regarding whether renting from a spouse is lawful misframes the issue. The question here, instead, turns on whether Shainsky concealed, omitted, or misrepresented a material fact about the arrangement in presenting the claim and/or during the investigation. Shainsky does not dispute in reply "the fact that [she] did not volunteer, unprompted, that her landlord was her husband before Farmers' April 1, 2024, recorded interview." (Reply at p. 6.) Instead, Shainsky impermissibly attempts to shift the burden to Farmers and unpersuasively hinges her argument primarily on "intent." Shainsky does not address whether "a reasonable insurer would attach importance to the fact misrepresented" – i.e. whether she is an owner of the Studio City property and if her husband was her landlord. (*Chierfue Her*, *supra*, 92 F. Supp. 3d at 969.) Thus, Shainsky fails to establish that "reasonable minds could not disagree on the materiality of the misrepresentation." (*Ibid.*)

Shainsky's second argument is also unpersuasive. While her husband is a non-insured third party, this point does not resolve the case on summary judgment because, as found in the previous paragraph, Shainsky failed to overcome the burden as to her own statutory duty. (Mot., Ex. 1.) Farmers alleges that Shainsky misrepresented or concealed that she was married to her "landlord" and/or her ownership stake in the Studio City property she was leasing during the investigation. Thus, the "husband argument" is not enough to support summary judgment.

D.

ALE

Shainsky argues that Farmers' contention "that the ALE appraisal award of \$207,000 exceeds the policy's ALE limit of \$141,400 and is therefore unenforceable," is impermissible. (Mot., at p. 13.) Specifically, Shainsky contends that this claim "conflates" the valuation and coverage/limits issue. (Id.)

In the Complaint, Farmers seeks a judicial declaration "[t]hat the maximum additional living expenses recoverable under the policy is \$141,400, irrespective of the appraisal award." (Compl., ¶ 35.) In the general allegations, Farmers alleges that "the appraisal award amount was \$207,000 -- far in excess of the policy's ALE limit of \$141,000 [sic]." (Id., ¶ 28.) Shainsky misrepresents Farmers' "contention;" based on a plain reading of the Complaint's allegations, Farmers seems to argue and focus on the coverage/limits issue rather than the valuation. Farmers does not allege the valuation is "unenforceable" based on the ALE finding – unenforceability is alleged only once in the Complaint, as to the arbitrators' alleged excess power, the umpire's misconduct, and/or the undue procurement of the award. (Id., ¶ 35.)

Based

on the foregoing, the Court finds that this point is not in contention. And as analyzed in Section A, the coverage/limits issue is still ripe.

Conclusion

As explained above, defendant Karen Shainsky has failed to carry the burden required to obtain summary judgment under section 437c(c) of the Code of Civil Procedure – that is, to establish that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law. Her Motion for Summary Judgment is DENIED.

Date: 09/18/2026 _____

William

E. Weinberger

Judge,

Los Angeles Superior Court